USER MANUAL & STANDARD OPERATING PROCEDURES

Indian Payroll Configuration & Operations

The complete Indian statutory guide: CTC architecture with the balancing Special Allowance, EPF · ESIC · PT · LWF · TDS under both tax regimes, the Stage A/B/C processing cycle with the 5% variance gate, filing-ready ECR to Form 16, the declaration-to-true-up loop, F&F with gratuity and encashment caps, and bank advice files with checksums.

3Boxes HRMS | Version 1.0

Prepared by the 3Boxes Platform Team · September 2026

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1. Introduction & Module Architecture

This manual documents how the 3Boxes HRMS Payroll module is built, how it is configured for the Indian statutory environment, and the standard operating procedures for running a compliant monthly payroll cycle from end to end. It is written for payroll specialists, HR administrators, finance controllers and tenant administrators who configure or operate payroll. Every screen referenced here is available in the product under the Payroll section of the sidebar, and the India-specific console is the **India Compliance Center**. All procedures apply equally to the demo environment used for training and to production tenants; the only difference is data.

The module is a dual-generation architecture. The **processing engine** (Payroll Run) is the governed path: a run is created for a legal entity and period, employee-level transaction lines are computed by the statutory engine, the run advances through a forward-only lifecycle (OPEN → INPUT_COLLECTION → PROCESSING → REVIEW → APPROVED → ACCOUNTING → DISBURSED → CLOSED), and every disbursement is released only after review and approval. The **legacy flat ledger** (per employee/month payroll records) remains for self-service payslips and quick entries, and statutory report generation falls back to it when a period has no modern run. New implementations should use the Payroll Run path exclusively; the legacy path exists for continuity of simple tenants.

1.1 What the statutory engine covers

All India-specific computation lives in a single engine library, so processing, the CTC calculator, TDS projections and statutory filings always agree. The engine computes EPF (employee and employer shares with the ₹15,000 statutory wage ceiling or actual Basic when opted, EPS split at 8.33%, EPF admin charges and EDLI), ESIC (0.75% employee and 3.25% employer when gross salary is at or below ₹21,000), Professional Tax from state-wise slab tables for eleven states including half-yearly states such as Tamil Nadu, Gujarat and Kerala, Labour Welfare Fund contributions by state with June/December remittance for half-yearly states, and Income Tax (TDS) under both the old regime and the new default regime with FY 2024-25 and FY 2025-26 slabs, Section 87A rebate, surcharge with marginal relief and the 4% health and education cess. Separation maths (gratuity, leave encashment exemption cap, notice buy-out) is part of the same library, guaranteeing that the Full & Final statement matches the payroll engine.

1.2 Module map at a glance

Area	Pages	Purpose
Dashboards	Payroll Dashboard, Group Dashboard	Lifecycle KPIs, seed tools, group liability in base currency
Masters	Salary Types, Paycodes, Salary Structures (CTC), Cost Centers, CTC Calculator, Statutory Components, Income Tax Slabs, Gratuity, Currency & FX	Country-scoped configuration of every earning, deduction and statutory rule

Area	Pages	Purpose
Transactions	Inputs, Readiness, Processing, Authorization, Overtime, Advance, F&F;, Bank Files, Payslips, Secondment, AI Insights	Run the monthly cycle, handle exceptions and disburse
Reports	Reports & Dashboard (Salary Register, Statutory, Variance, Standard, Dashboard), India Compliance Center	Registers, filing-ready statutory formats, variance governance, India console

> **Where is everything?**
>
> Navigation tip: the India Compliance Center lives under Payroll → Reports → India Compliance Center. It consolidates statutory configuration, all eight filing formats, the declaration/proof cycle and variance governance in one console.

1.3 The monthly cycle in one paragraph

Between the 1st and the 20th, pre-payroll inputs converge on the payroll engine: HR records new joinees and exits, attendance and leave produce Loss-of-Pay days, and finance submits variable pay and bonuses. The readiness validation gate confirms every employee has a salary basis, payment method and no blocking holds. Calculation then produces transaction lines per employee: earnings from the CTC template, statutory deductions from the engine, a TDS projection from declarations, and net pay. The payroll specialist reviews the variance report against the previous month; any employee whose net pay moved more than the configured threshold (default 5%) is flagged for review and requires Finance Head approval before the bank advice file can be released. After disbursement, payslips are released, statutory registers and filing formats are generated, and the run is closed under an audited lock.

2. Core Payroll & CTC Configuration

Indian Cost to Company architecture divides the package into taxable, tax-exempt and statutory layers. The 3Boxes CTC Template system expresses this as an ordered list of component mappings, each with an allocation method (percentage of CTC, fixed amount, percentage of another component, or formula) plus minimum/maximum limits, frequency and proration rules. Payroll processing evaluates mappings in sequence, so components that reference earlier components (for example HRA as a percentage of Basic) resolve automatically.

2.1 The standard component plan

Component	Typical allocation	Tax treatment	Notes
Basic	40–50% of CTC	Fully taxable	Base for PF and gratuity; keep within the recommended band so statutory wages stay meaningful

Component	Typical allocation	Tax treatment	Notes
HRA	40% (non-metro) / 50% (metro) of Basic	Exempt u/s 10(13A) least-of-three	Exemption is computed at tax time from rent paid, not from the template
Dearness Allowance	0–10% of Basic	Fully taxable	Included in PF wage when paid
Conveyance	Fixed ₹1,600	Fully taxable	Legacy planning figure; keep or repurpose as allowance
Medical	Fixed ₹1,250	Fully taxable	Legacy planning figure; modern practice folds this into Special Allowance
Special Allowance	Balancing plug	Fully taxable	Computed as the remainder of CTC at run time when the template leaves it unallocated
LTA	Annual fixed	Exempt u/s 10(5) up to bills	Reimbursement category, non-taxable up to eligible travel evidence
Fuel / Driver / Gadgets / Books	As opted	Non-taxable up to bills	Perquisites & reimbursements; set fixed monthly/annual values per band
EPF Employer 12%	12% of Basic(+DA)	Employer cost	Statutory mapping; the engine recomputes the exact liability
Gratuity Provision	4.81% of Basic	Employer cost	Actuarial-style provision for the year-end gratuity liability

2.2 Applying the India preset

Rather than building every template from scratch, use the preset. On the Salary Structure Master (CTC Templates) page, administrators will find an **Apply India Preset** action. It creates a DRAFT template for the selected company with thirteen mappings — the full earning stack above plus reimbursements and the employer statutory contributions — using Basic at 40% of CTC and HRA at 50% of Basic by default. The preset is deliberately created in DRAFT status so an administrator can adjust the percentages for the organisation's pay bands, then activate it and optionally make it the default for payroll processing. The processing engine picks the default active IND template first, then the first active IND template.

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Navigation: Payroll → Masters → Salary Structure Master → Apply India Preset
```

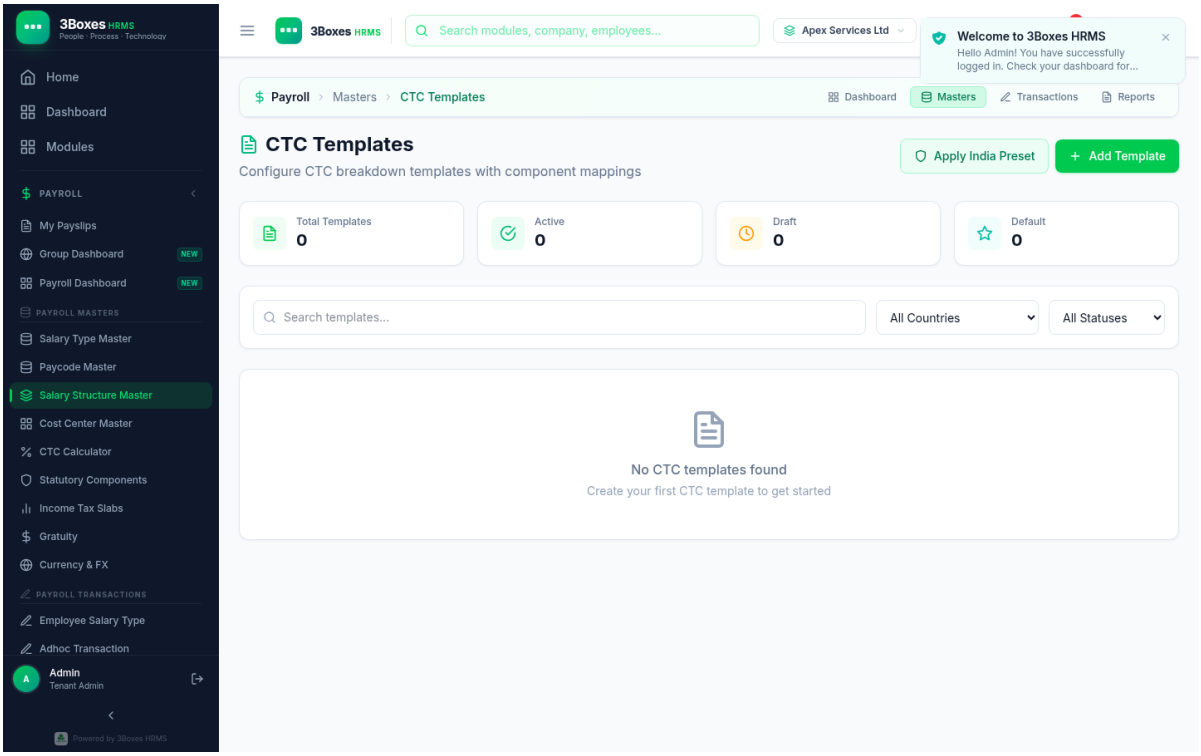


Figure 2-1 · CTC Templates with the Apply India Preset action

2.3 Special Allowance as the balancing component

The Special Allowance is the plug that absorbs whatever remains of CTC after the planned components. In the processing engine, when a template is applied the assigned amounts are summed and the unallocated remainder is written as SPECIAL_ALLOWANCE for that employee for that month, so the gross always reconciles to the monthly CTC. Because it is fully taxable, the sizing of Basic and HRA directly drives the employee's tax efficiency: higher Basic raises PF and gratuity bases and HRA capacity, while a larger Special Allowance raises taxable income. This trade-off is why the recommended Basic band is 40–50% of CTC.

2.4 Country scoping of templates

Every CTC template carries a country code (IND, USA, GBR, SGP are offered in the UI) and a currency. Templates are evaluated only for the run's country: an India run (currency INR) resolves IND templates. When multiple companies exist in a tenant, create one template per company or one group template; the run selects by country first and then by default flag. Keep at most one default per country to avoid ambiguous selection.

3. India Statutory Configuration

The India Compliance Center opens with the Statutory Configuration card — one row per company that drives every downstream computation. The first time the page is opened for a company, the configuration is auto-provisioned with statutory defaults (EPF ceiling ₹15,000, ESIC wage limit ₹21,000, New Regime default, declaration window in April, proof window in January, TDS true-up from February, variance threshold 5%). Administrators should review each field once during setup; the engine reads this record for every payroll run.

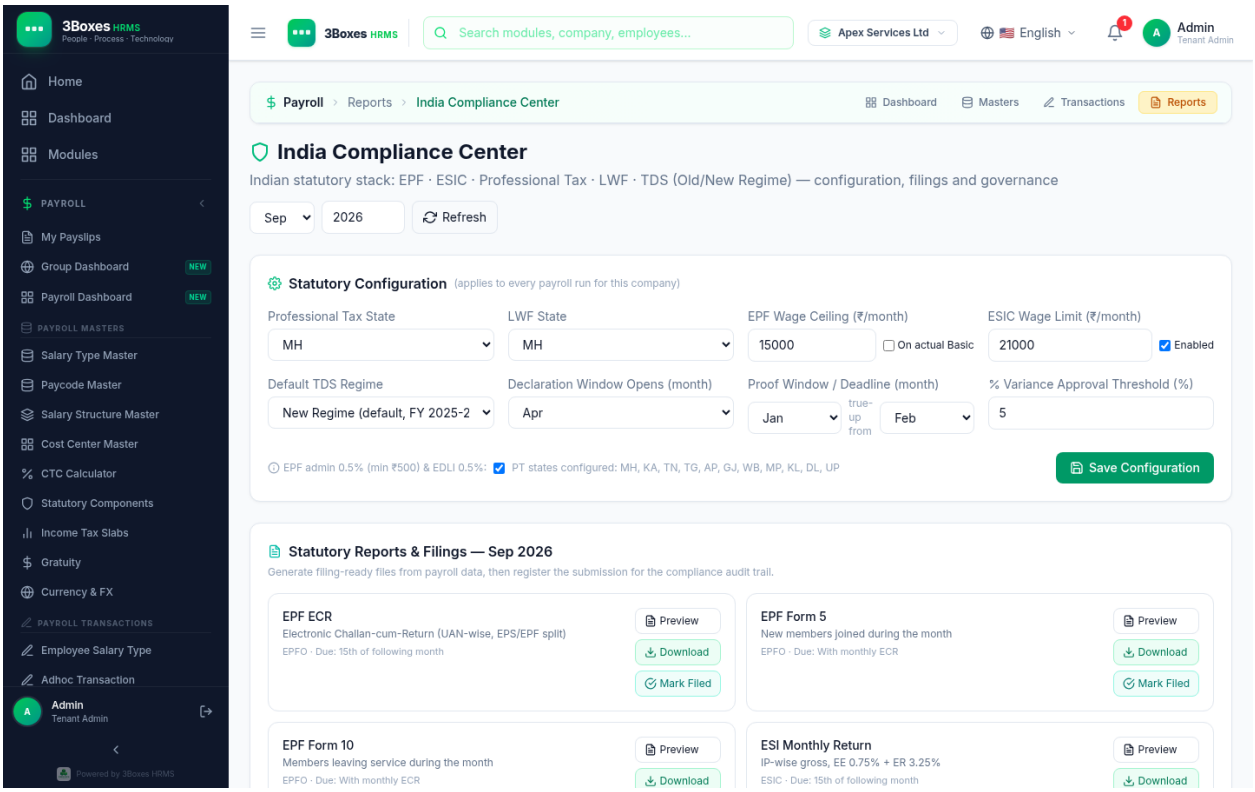


Figure 3-1 · Statutory Configuration card (Apex Services Ltd, Maharashtra)

3.1 Field-by-field reference

Field	What it controls	Guidance
Professional Tax State	Which state's PT slab table applies	Defaults to the employee's state, then the company's state; pin it when the entire workforce is in one state
LWF State	Which state's LWF rates and remittance frequency apply	Half-yearly states (e.g. Maharashtra) remit June & December; monthly states deduct each month
EPF Wage Ceiling	Wage cap for the 12% computation	₹15,000 statutory; tick 'On actual Basic' only if your establishment contributes on full Basic+DA

Field	What it controls	Guidance
EPF Admin Charges	Adds 0.5% EPF admin (min ₹500) + 0.5% EDLI	Enabled by default; disable only if you remit admin charges outside payroll
ESIC Wage Limit	Eligibility ceiling for ESI coverage	₹21,000 standard; raise to ₹25,000 only for persons-with-disability coverage policies
Default TDS Regime	Regime for employees who have not elected	New Regime is the statutory default from FY 2023-24 onward
Declaration Window (month)	When employees file regime + investment declarations	April per standard Indian practice
Proof Window / True-up (months)	When proofs are verified and when TDS re-projection starts	January proof deadline, February true-up per the Feb–Mar adjustment rule
Variance Threshold (%)	Net-pay change that triggers review + approval	5% default per governance policy; raise only with a documented finance policy

3.2 State tables shipped with the engine

Professional Tax slabs are shipped for Maharashtra, Karnataka, Tamil Nadu, Telangana, Andhra Pradesh, Gujarat, West Bengal, Madhya Pradesh, Kerala, Delhi and Uttar Pradesh, including the female-employee exemptions where they exist and the February higher-deduction months (for example Maharashtra ₹300 in February, capping the year at ₹2,500). Half-yearly states deduct in June and December only. LWF rates ship for the same states with the correct frequency flag. The tables are representative of current notifications; when a state revises its slabs, update the engine's PT/LWF tables — no other configuration changes are required. For states outside the shipped set, the engine skips PT/LWF for that employee and the gap is visible in the statutory registers.

> **Multi-state workforces**
>
> The configuration applies to every payroll run for the company, but state fallback is per employee: an employee with a different home state uses that state's slabs unless the company pinned a state. This supports multi-state workforces within one legal entity.

4. Statutory Deduction Rules Reference

This chapter is the calculation reference the engine implements. Rates below are as notified for FY 2025-26; when the government changes a ceiling or rate, update the engine library and this table together. Each rule includes the employer cost items that appear as separate transaction lines, so the payroll cost report reconciles to the statutory challans.

4.1 EPF — Employees' Provident Fund

Item	Rule implemented
Employee share	12% of Basic + DA, on the capped wage (min(Basic+DA, ₹15,000)) by default, or full Basic+DA when 'On actual Basic' is opted
Employer share	12% of the same wage, split ₹8.33% EPS (pension, capped at the EPS wage) and the balance to EPF
Admin charges	0.5% of wages, minimum ₹500 per month when the wage is positive (configurable)
EDLI admin	0.5% of wages (configurable)
Ceiling effect	At the ₹15,000 ceiling the maximum employee share is ₹1,800 and the employer share ₹1,800
Reference line	Transaction lines carry statutoryReference INDIA_ENGINE and a formula trace with the wage used

4.2 ESIC — Employees' State Insurance

ESIC applies when the month's gross salary is at or below the configured wage limit (₹21,000 standard). The employee contributes 0.75% of gross and the employer 3.25%, both rounded up to the next rupee as per ESIC portal practice. Eligibility is evaluated per month on the actual gross for that month, so an employee crossing the limit in a bonus month naturally falls out of coverage for that month and returns the next month. When the limit is not met, the engine simply emits no ESI lines, and the ESI register for the period excludes the employee.

4.3 Professional Tax and LWF

Professional Tax uses the state slab tables described in chapter 3. The engine picks the slab by the month's gross, applies gender exemptions where notified, switches to the special February amount where the state has one, and returns zero for non-remittance months in half-yearly states. LWF works the same way with its own state table: monthly states deduct every month (for example Karnataka ₹20 employee / ₹40 employer), and half-yearly states such as Maharashtra deduct ₹12/₹36 only in June and December. Both amounts appear as statutory deduction lines (PT, LWF_EE) and employer contribution lines (LWF_ER), which is what the PT and LWF returns aggregate.

4.4 Worked example (Maharashtra, ₹12L CTC)

Line	Basis	Amount (₹)
Basic (40% of CTC)	12,00,000 / 12 × 40%	40,000.00
HRA (50% of Basic)	40,000 × 50%	20,000.00

Line	Basis	Amount (₹)
Special Allowance	Remainder after fixed components	≈ 17,150.00
EPF employee	min(40,000, 15,000) × 12%	1,800.00
EPF employer (EPS+EPF)	1,500 wage × 12% split	1,800.00 (+ admin/EDLI)
ESIC	Gross > 21,000 → not applicable	0.00
PT (Maharashtra)	Slab > 10,000, non-February	200.00
LWF (Maharashtra)	Half-yearly; only June/December	12.00 (Jun & Dec)
TDS	Annual projection ÷ remaining months	varies by regime & declarations

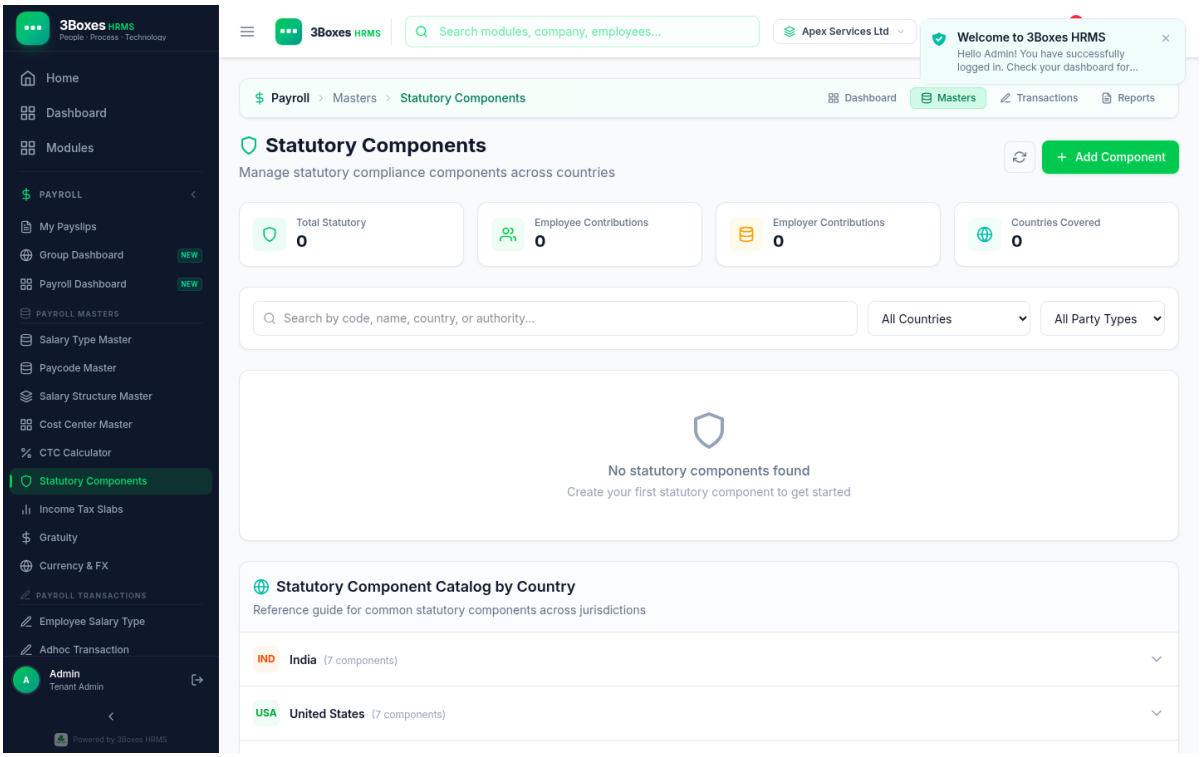


Figure 4-1 · Statutory Components master

5. Income Tax (TDS) — Dual Regime Engine

India taxes salary under two concurrent regimes. The **New Regime** is the default: lower slab rates but almost no deductions. The **Old Regime** keeps the deduction ecosystem (80C, 80D, HRA, home-loan interest) at higher rates. The engine computes both every time and reports which is better, and the payroll engine applies the employee's elected regime from their declaration — or the company default when no declaration exists.

5.1 FY 2025-26 slab structure

Annual income band	New Regime rate	Old Regime rate (<60 yrs)
Up to ₹4,00,000 / ₹2,50,000	0%	0%
Next band to ₹8,00,000 / ₹5,00,000	5%	5%
Next band to ₹12,00,000 / ₹10,00,000	10%	20%
Next band to ₹16,00,000	15%	30%
Next band to ₹20,00,000	20%	30%
Next band to ₹24,00,000	25%	30%
Above ₹24,00,000	30%	30%

The new regime applies a ₹75,000 standard deduction and a Section 87A rebate of up to ₹60,000, which makes total income up to ₹12,00,000 tax-free. The old regime applies a ₹50,000 standard deduction, the chapter VI-A deductions (80C capped at ₹1,50,000, 80D capped at ₹25,000 or ₹50,000 for senior citizens, 80CCD(1B) NPS at ₹50,000, 24(b) home-loan interest at ₹2,00,000, 80E education loan without cap) and an 87A rebate of ₹12,500 up to ₹5,00,000 total income. Surcharge applies at 10/15/25% (new regime, capped at 25%) or 10/15/25/37% (old regime) with marginal relief so that tax plus surcharge never exceeds the excess over the threshold, and the 4% health and education cess applies on the subtotal in both regimes.

5.2 HRA exemption — least of three

For old-regime employees the exempt slice of HRA is the minimum of: (a) actual HRA received, (b) rent paid minus 10% of Basic+DA, and (c) 50% of Basic+DA for metro cities (Mumbai, Delhi, Kolkata, Chennai) or 40% for non-metro. The declaration captures rent paid and metro status; the engine annualises the monthly exemption and feeds it into the old-regime computation. If rent paid is below 10% of Basic the exemption is zero and the whole HRA is taxable — the calculator shows this instantly so employees can adjust before the proof window closes.

5.3 Monthly TDS projection

Payroll never deducts the annual tax in one month. The engine projects the annual gross, computes the annual tax under the elected regime, subtracts the tax already recovered in the financial year across previous runs, and divides the remainder by the months left (April = 12 months, September = 7, January = 3, February–March = 1). From the true-up month the projection switches from declared to verified deduction figures, so any shortfall after proof verification is automatically spread over the remaining pay periods; over-recovery simply zeroes the remaining months and the employee claims the refund in their return. Every TDS line carries a formula trace with the regime, financial year, annual tax, amount recovered so far and months remaining for audit.

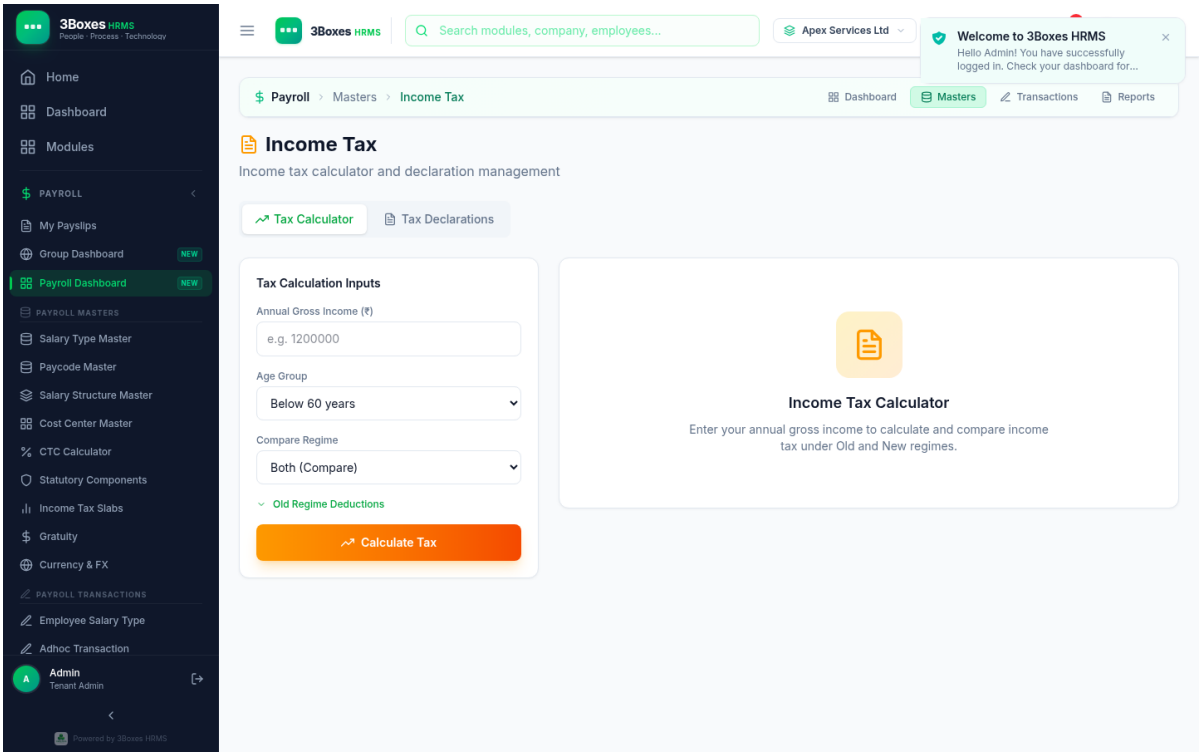


Figure 5-1 · Income Tax page — dual-regime calculator and declarations

> **Sanity-checking the TDS line**
>
> Worked check: gross ₹28.4L annual under the new regime → taxable ₹27.65L after standard deduction → slab tax ₹4,09,500 → +4% cess ≈ ₹4,25,880 → September run deducts ₹4,25,880 ÷ 7 ≈ ₹60,840/month. The engine's figure for the demo employee was ₹60,981 — the small difference is exact rounding of the monthly gross.

6. Payroll Processing Workflow (Stage A / B / C)

A compliant Indian payroll runs on a strict monthly rhythm. The module models the rhythm as three stages with a governance gate between review and payment. The diagram below is the reference flow; the SOP steps that follow use the exact screen names in the product. The run lifecycle is forward-only — OPEN → INPUT_COLLECTION → PROCESSING → REVIEW → APPROVED → ACCOUNTING → DISBURSED → CLOSED — and every transition is recorded on the run.

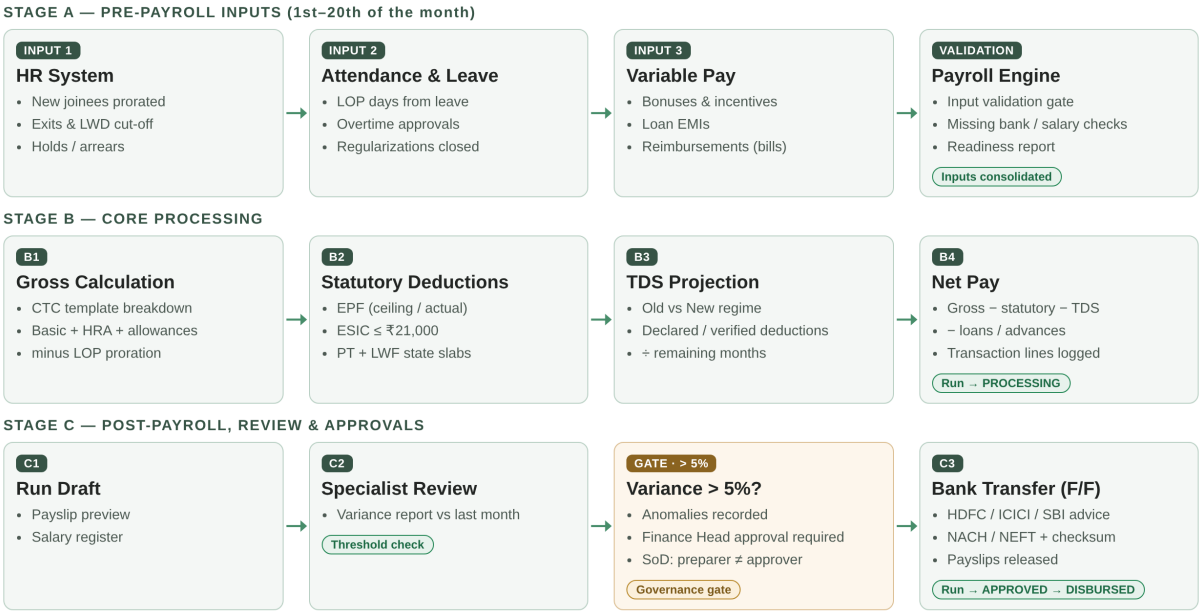


Figure 6-1 · The 3Boxes payroll cycle with the >5% variance governance gate

6.1 Stage A — pre-payroll inputs (1st–20th)

1. Open **Payroll → Transactions → Adhoc Transaction** and record approved variable pay, one-time payments, reimbursements, loan recoveries and tax adjustments for the period. Inputs must be in APPROVED status to be picked up.
2. Close attendance and leave for the month so Loss-of-Pay days are final; overtime approvals land here automatically from the Overtime page.
3. Confirm HR records are current — new joinees prorated from their date of joining, exits stopped at their last working day, and any **Salary Arrears** (holds) released or explicitly carried forward.
4. Open **Payroll Readiness** and run the pre-payroll validation. Resolve every missing payment method, missing salary basis and blocking hold until the readiness report is clean.

6.2 Stage B — core processing

1. Create the run in **Payroll Processing**: pick the legal entity, period, pay date and run type (REGULAR for the monthly cycle; OFF-CYCLE, FINAL_SETTLEMENT or CORRECTION for exceptional runs).
2. Press **Calculate**. The engine iterates active employees, applies the CTC template, then invokes the India statutory library for EPF, ESIC, PT, LWF and the TDS projection, and writes a transaction line per component. The run advances to PROCESSING.
3. Spot-check three to five employees in the transaction lines: verify the EPF wage (capped or actual), the PT amount against the state slab, and the TDS line's formula trace (regime, FY, annual tax, months remaining).

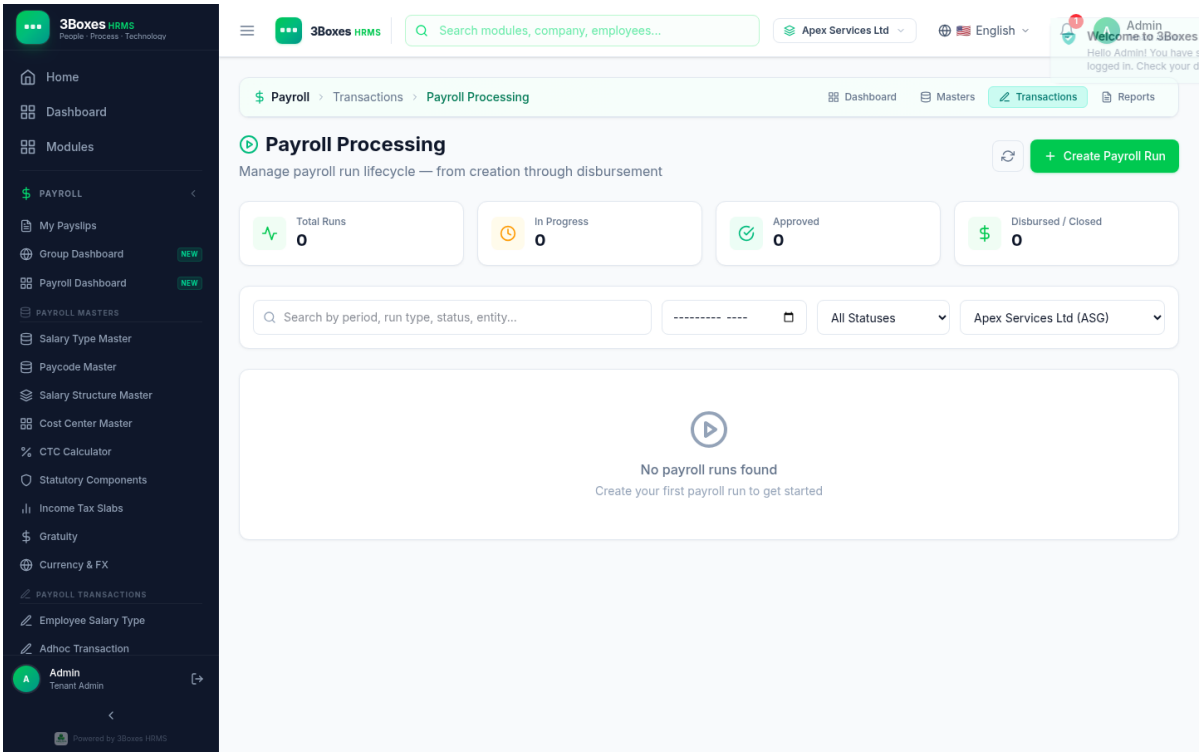


Figure 6-2 · Payroll Processing — run lifecycle and calculation

6.3 Stage C — review, approval and disbursement

1. In **Payroll Authorization** raise the CALCULATION_REVIEW approval. Separation of duties is enforced: the user who calculated the run cannot approve it.
2. Open **Reports → Variance Report**, select the run and compare against the previous month. Every employee beyond the threshold is highlighted; press **Record Flagged as Review Items** to log the anomalies, and the payroll team plus Finance Head receive the variance notification.
3. Obtain the DISBURSEMENT_APPROVAL. Only then generate the bank advice file (chapter 11) — the module does not prevent generating the file earlier, but governance treats a pre-approval file as a policy violation.
4. Release payslips from **Payslips**, advance the run to DISBURSED and then CLOSED. Post-close changes require a **Payroll Lock Request** approved by a tenant or super admin, and every manual adjustment lands in the immutable audit log with a mandatory reason.

> **Cut-off rule**
>
> Cut-off discipline: inputs after the 20th belong to the next cycle unless a CORRECTION run is approved. This mirrors the 1st–20th pre-payroll window in the SOP diagram and keeps statutory registers stable.

7. Approvals, Variance & Governance

Payroll is the one module where a silent error costs real money and statutory penalties, so the module layers four controls on top of the calculation: separation of duties, month-over-month variance analysis, AI anomaly detection, and an audited lock. Together they implement the Stage C gate from the reference workflow: a payroll specialist reviews differences above 5%, the Finance Head approves, and only then does the bank transfer go out.

7.1 Variance report

The Variance Report tab compares the selected run with the immediately previous period for the same company, employee by employee. For each person it shows previous net, current net, the rupee delta and the percentage variance, sorted by magnitude. The threshold comes from the Statutory Configuration (default 5%). Rows beyond the threshold are flagged in red and the banner states the governance consequence. Pressing **Record Flagged as Review Items** writes one anomaly per flagged employee (type VARIANCE_THRESHOLD, severity scaled by the size of the deviation) and dispatches the payroll.variance.flagged notification to the payroll team and Finance Head with the top three variances in the message.

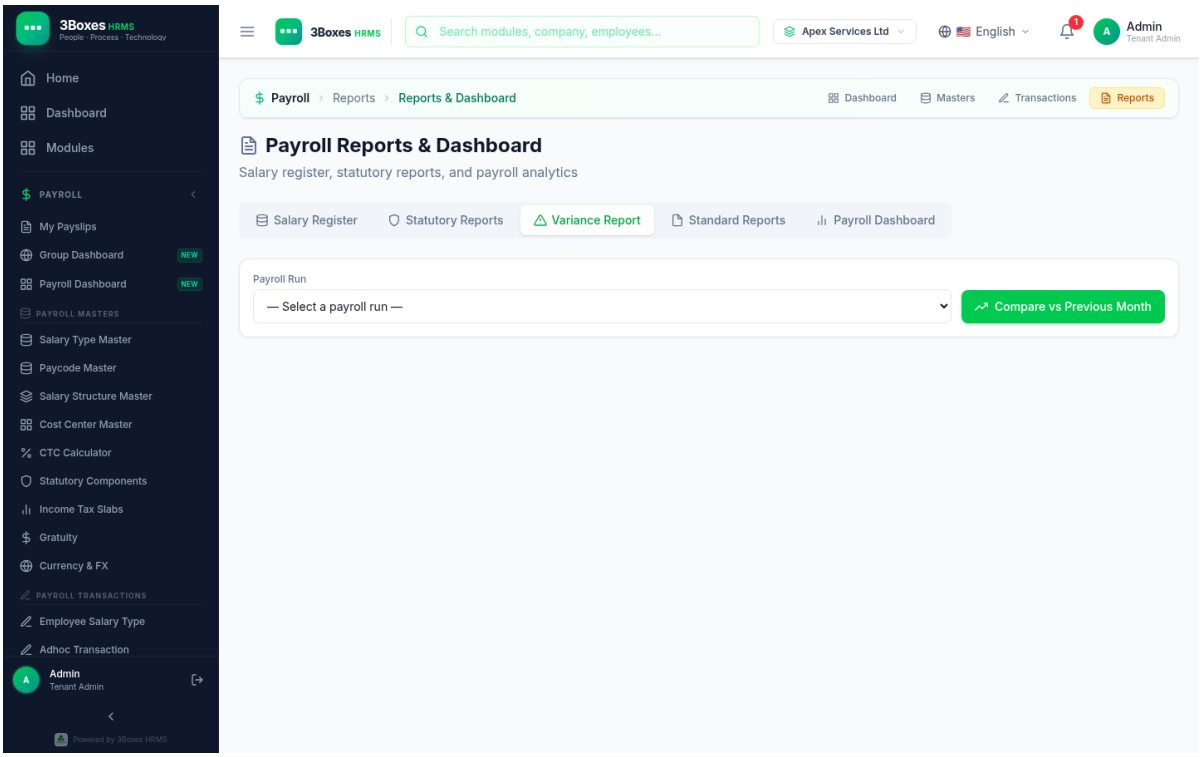


Figure 7-1 · Variance Report tab — threshold-driven review

7.2 Separation of duties and approvals

Stage	Approval	Who cannot approve
PROCESSING → REVIEW	CALCULATION_REVIEW	The user who calculated the run
REVIEW → APPROVED	DISBURSEMENT_APPROVAL	The requester; only tenant_admin / super_admin / finance_controller roles
After CLOSED	Payroll Lock Request	The requester of the unlock; admin role required

Every approval records the approver, the timestamp, an optional note and a separation-of-duties snapshot taken at approval time, so a later role change cannot invalidate the audit trail. Rejection returns the run to PROCESSING with a reason, which is the correct loop when variance review finds a genuine error: fix the inputs, recalculate, and re-enter review.

7.3 AI anomaly detection

Independent of variance, the AI Insights page runs rule-based and statistical detectors across runs: net-pay spikes above 50% of the trailing three-month average, overtime spikes, gross drops above 40%, zero-tax anomalies, duplicate bank accounts across employees, first-time components and minimum-wage breaches. Anomalies have their own acknowledge/investigate/resolve workflow so findings are dispositioned, not just displayed. Use variance as the monthly gate and AI insights as the continuous tripwire.

8. Statutory Reports & Filings (India Compliance Center)

The India Compliance Center generates every recurring statutory output directly from payroll data. Each format card offers **Preview** (on-screen summary plus the first rows), **Download** (the filing-ready file) and **Mark Filed** (registers a ComplianceFiling record so the compliance calendar shows what was generated, when, and who acknowledged it). Formats fall back to the legacy payroll ledger for periods without a modern run, so history is never lost.

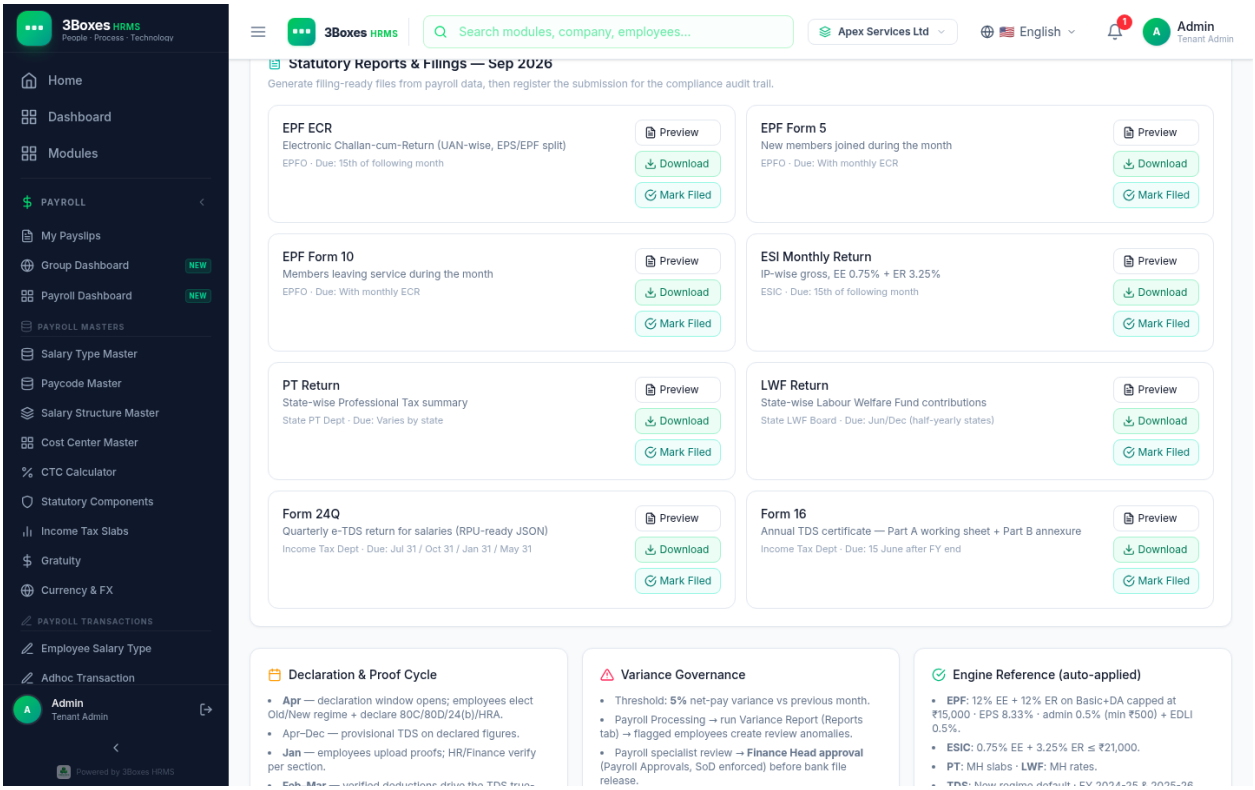


Figure 8-1 · Statutory Reports & Filings cards

8.1 Format catalogue

Format	File	Contents	Due
EPF ECR	.txt	UAN-wise # separated ECR: gross, EPF wage (capped), EPS/EDLI wages, EE 12%, ER EPS, ER EPF, NCP days	15th of following month via EPFO portal
EPF Form 5	.csv	Members who joined during the month: UAN, name, wages, date of joining	With monthly ECR
EPF Form 10	.csv	Members who exited during the month: UAN, name, wages, date of exit, reason	With monthly ECR
ESI return	.csv	IP-wise gross, EE 0.75%, ER 3.25%, total	15th of following month via ESIC portal
PT return	.csv	State-wise registered persons and PT deducted, with the state portal noted	Varies by state (10th–20th typical)
LWF return	.csv	State-wise employee and employer contributions with remittance frequency	Jun/Dec for half-yearly states
Form 24Q	.json	Quarterly salary TDS return structured for the NSDL RPU (deductor, deductee rows, challans placeholder) → produces the .fvu for TRACES	Jul 31 / Oct 31 / Jan 31 / May 31
Form 16	.html	Part A working sheet (per-employee PAN, gross, TDS) + Part B annexure skeleton for the annual certificate	Issue by 15 June after FY end

8.2 Operating procedure

1. Close the month's run (chapter 6) so the registers reflect final figures.
2. In the India Compliance Center, set the month and year, then Preview each format and reconcile the summary chips (member counts, totals) against the Salary Register.
3. Download the ECR text and upload it to the EPFO portal; download the ESI, PT and LWF summaries and file on the respective state portals; import the 24Q JSON into the TDS return preparation utility each quarter.
4. Press **Mark Filed** after each portal acknowledgement so the filing trail is complete; the payroll.statutory.filing.due notification (chapter 12) reminds the team before due dates.
5. For Form 16, use the annual format with month = March (or April) of the closing financial year, then replace Part A with the TRACES-downloaded official Part A before issuing to employees.

8.3 Registers and salary register

Beyond the filing formats, the Reports tab's Statutory section renders live PF, ESI, PT, TDS and LWF registers for any period — PT and LWF aggregated state-wise, TDS PAN-wise — directly from transaction lines. The Salary Register tab produces summary or detailed per-employee registers with every earning and deduction column, printable for the monthly payroll review sign-off.

9. Declaration & Proof Verification Workflow

Indian payroll needs a governed annual loop between employees and payroll: employees declare investments at the start of the financial year, TDS runs on those declarations for most of the year, proofs arrive in the last quarter, and the final months true up. The module models the full loop with configurable window months and automatic TDS re-projection.



Figure 9-1 · The April → January → February–March declaration-to-TDS loop

9.1 The four phases

Phase	Months (configurable)	What happens
Declaration window	April	Employees elect Old/New regime and declare 80C (PPF, ELSS, LIC, home-loan principal), 80D self/parents, 80CCD NPS, 24(b) interest, HRA rent + metro status
Provisional TDS	April – December	Engine projects annual tax on DECLARED figures and deducts the remaining-months share each run
Proof window	January	Employees upload proofs per section; submission flips the declaration to PENDING_REVIEW; HR/Finance verify each section as VERIFIED, PARTIALLY_VERIFIED or REJECTED
True-up	February – March	VERIFIED amounts replace declared amounts in the projection; shortfall spreads over remaining months; the regime is locked after verification

9.2 Operating procedure (HR/Finance)

1. In April open the window: announce it (the declaration.opened event notifies all employees) and confirm the window months in the Statutory Configuration.
2. Review submitted declarations on the Income Tax page; APPROVED declarations are the ones the engine uses for the provisional projection.
3. In January chase the closing reminder (declaration.closing event with days-left), then verify proofs: open each declaration, record per-section status and comments, and set the overall proof status. Verification locks the regime election for the year.
4. Watch the true-up: February and March runs automatically deduct the corrected TDS; the employee is notified of the verification result either way (proof.verified / proof.rejected events).

> **Rejections**
>
> Rejected proofs are not a dead end: the employee can re-submit valid proofs before the deadline. If nothing is re-submitted, TDS continues on the reduced (declared-less) basis, which is the statutorily correct outcome.

10. Full & Final (F&F;) Settlement

Separation pay in India has four statutory moving parts — pending salary to the last working day, gratuity, leave encashment and notice buy-out — plus recoveries, all gated by department clearance. The F&F; Settlement page computes the statement automatically from the employee record and the separation, and the exit workflow notifies managers and HR when the statement is ready.

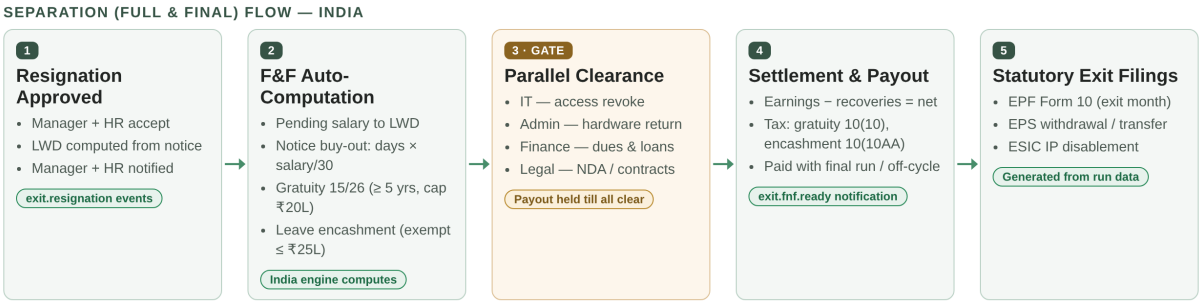


Figure 10-1 · The separation flow with the clearance gate

10.1 Components computed by the engine

Component	Formula implemented	Statutory reference
Pending salary	Prorated earnings to the last working day	Contractual
Gratuity	15/26 × last drawn Basic+DA × completed years; payable at ≥ 5 years; capped at ₹20,00,000 (establishments outside the Act use 15/30)	Payment of Gratuity Act 1972, Sec 4(2), 10(10)
Leave encashment	Earned-leave balance × per-day rate; exempt up to ₹25,00,000, excess taxable and split in the statement	Sec 10(10AA)
Notice buy-out	Shortfall days × (monthly salary ÷ 30), recovered from the settlement	Contractual
Recoveries	Assets, loans, other dues, tax	Employer policy

The API response includes the India computation panel: the gratuity formula string, years of service, whether the ₹20 lakh cap applied, the exempt/taxable encashment split and the buy-out derivation, so HR can explain every number to the departing employee. Net settlement is earnings (including gratuity) minus recoveries; payout waits for clearance sign-offs, and the F&F; record carries the clearance flag and the last working date used.

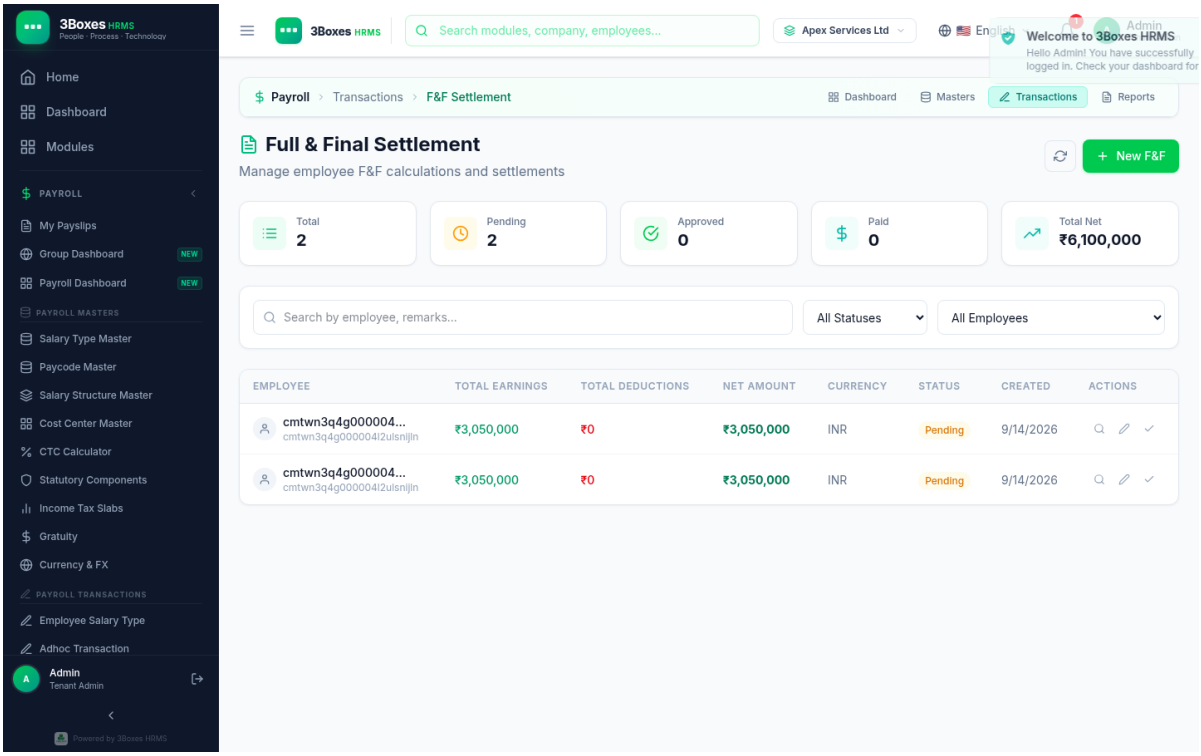


Figure 10-2 · F&F; Settlement page

> **Reading the gratuity panel**
>
> Gratuity eligibility is computed on completed years of continuous service between the date of joining and the last working date. Demo employees typically show ineligible (below 5 years) — that is correct behaviour, not a bug.

11. Bank Integration & Advice Files

Salary disbursement should never involve hand-edited spreadsheets. The Bank File Generation page produces the salary advice directly from an approved run's transaction lines, with per-employee net pay resolved against the employee's primary salary account. Files carry a trailer and a SHA-256 checksum so the bank's copy can be verified against the generated copy and manual tampering is detectable. An optional encode toggle base64-encodes the stored content for safer archival inside the platform.

11.1 Supported formats

Format	Use	Layout
NACH	National Automated Clearing House debit files	HDR / DTL / TRL records with account, IFSC, amount and currency per record
NEFT	Immediate salary credit via NEFT	Beneficiary name, account, IFSC, amount, payment and remitter references

Format	Use	Layout
HDFC	HDFC corporate portal bulk upload	Debit account, beneficiary, account no, IFSC, amount, narration, location code, reference
ICICI	ICICI corporate portal bulk upload	Sr no, beneficiary, account no, IFSC, amount, payment date, remarks, payee email/mobile
SBI	SBI corporate portal bulk upload	Debit account, beneficiary, account no, IFSC, amount, mode (NEFT), purpose, reference
Custom	Any other bank / in-house format	JSON rows: employee, account, IFSC, net pay, currency

11.2 Procedure

1. Confirm the run has passed variance review and holds DISBURSEMENT_APPROVAL.
2. Open **Payroll → Transactions → Bank File Generation**, select the run and the bank format, and enter the corporate debit account for bank formats.
3. Generate, then download and verify the trailer: record count and total amount must match the approval; the checksum line is the integrity proof for the bank upload.
4. Upload to the corporate portal and record the bank acknowledgement on the file record (status moves generated → submitted → acknowledged).
5. The payroll.bankfile.ready notification has already reached Finance with the period, bank, record count and total — reconcile it with the portal acknowledgement.

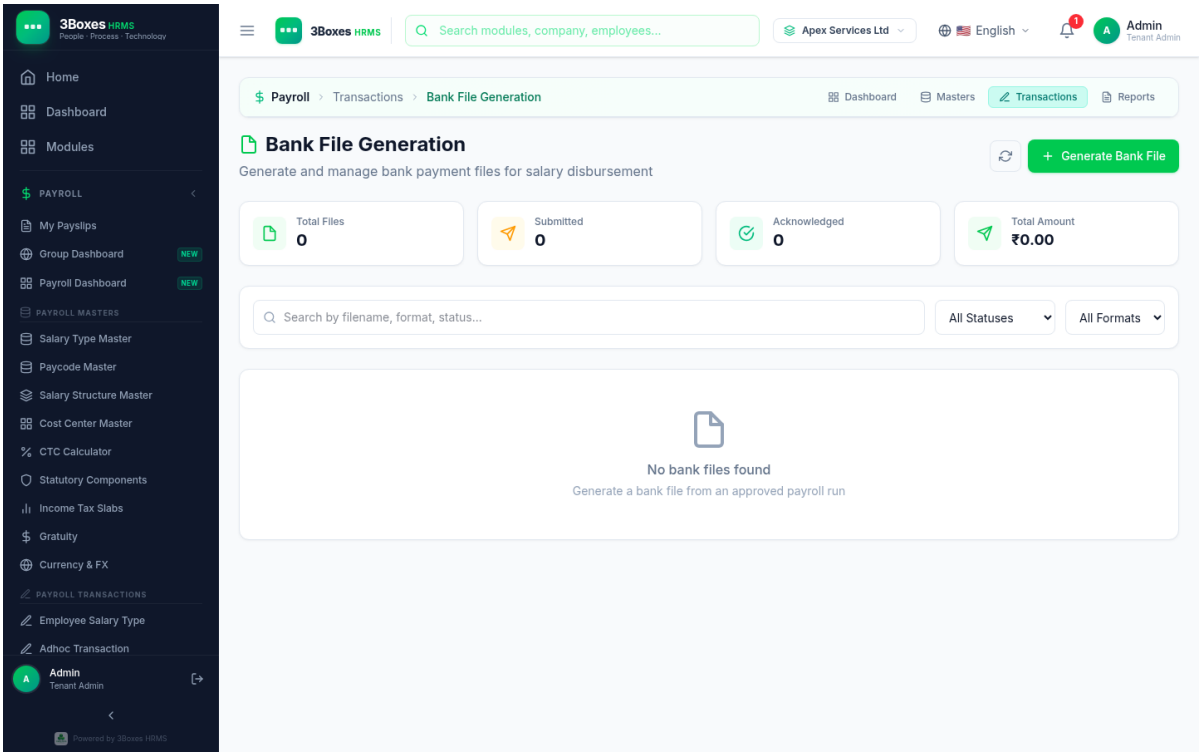


Figure 11-1 · Bank File Generation with bank-specific advice formats

> **Missing bank details**
>
> Employees missing an account number or IFSC are skipped and reported in the generation summary — fix the payment method and regenerate rather than editing the file.

12. Payroll Notifications & Escalation

Payroll participates in the platform-wide multi-channel notification system (in-app, email, SMS and Slack/Teams webhooks). Events are templates with {{placeholder}} variables that tenant admins can customise per module from the Notification Center, and approval-type events carry actionable Approve/Reject links valid in email and chat without opening the HRMS. Unactioned approval notifications escalate after the configured 48 hours to the configured next-level role.

12.1 Payroll event catalogue

Event	Recipients	Trigger
payroll.declaration.opened	All employees	Declaration window opens (April)
payroll.declaration.closing	Employees pending	Window closing reminder with days left
payroll.declaration.submitted	Payroll team	Employee submits a declaration
payroll.proof.verified / rejected	The employee	HR/Finance verification outcome
payroll.payslip.ready	Each employee	Payslip released for the period
payroll.variance.flagged	Payroll team + Finance Head	Net-pay variance beyond threshold with top variances in the message
payroll.bankfile.ready	Finance Head + payroll	Bank advice file generated (period, bank, records, total)
payroll.data.conflict	Payroll + HR admins	Conflicting payroll data detected (e.g. unpaid leave not synced)
payroll.statutory.filing.due	Payroll + compliance	EPF/ESI/PT/LWF/24Q filing approaching due date
exit.fnf.ready	HR + payroll + the employee	F&F; statement computed and ready for clearance

12.2 Customising templates

Open **Governance → Workflows → Notification Center** and select the Payroll module chip. Every event exposes its channels, subject and body per channel, the placeholder chips available (Employee_Name, Pay_Period, Net_Pay, Total_Amount, Variance_Detail and so on), whether the message is actionable, and the escalation hours and role. Edits are tenant-level overrides over the global seed and can be reset to defaults at

any time. The delivery log shows every channel attempt with status and error, which is the first place to look when a notification reportedly did not arrive.

13. Multi-Country Configuration Notes

The payroll module is country-aware by design: CTC templates, paycode masters, statutory components, tax slab tables and compliance obligations all carry a country code, and payroll definitions carry pay frequency, cut-off and payment day per country. Today two engines are implemented end to end — IND (this manual) and USA (FICA, 401(k), federal income tax) — while GBR and SGP are selectable at the configuration layer for templates and CTC planning ahead of their calculation packs.

13.1 What is per country

Layer	Scope	Example
Currency & FX	CurrencyConfig + ExchangeRate per legal entity	Base INR with USD/GBP rates for group consolidation
CTC templates	One per country per company	IND template with EPF/gratuity provision; USA template with 401(k) employer match
Statutory components	Authority, rates, ceilings, filing format, challan	EPF (EPFO, ECR, D+15) vs Social Security (IRS, Form 941)
Tax slab tables	Tax year + regime + filing status	India FY 2025-26 NEW/OLD; US federal single filer
Compliance obligations	Filing calendar with penalties and reminders	24Q quarterly; ECR monthly
Data residency	Region enforcement on storage	DPDP Act 2023 (India) alignment

13.2 Adding a country safely

Treat the India implementation as the template for expansion. Add the statutory tables to the engine library, seed the country's paycode master and statutory components with authorities and filing formats, create the first CTC template in DRAFT, register the compliance obligations, and only then activate processing for pilot employees. The tenant country catalogue (twenty countries) governs what tenants may enable; the calculation engines decide what actually computes. Never leave a country selectable in payroll processing without its engine — the readiness validation and the statutory registers will surface the gap.

14. FAQ & Troubleshooting

Symptom / question	Answer
TDS line looks too high	Open the line's formula trace: it shows regime, financial year, annual tax, recovered-so-far and months remaining. September deducts 1/7 of the annual tax — a large monthly figure on a high CTC is expected. Also check whether the employee's declaration is APPROVED; without one the projection assumes zero old-regime deductions
EPF is ₹1,800 but Basic is much higher	The statutory ceiling (₹15,000) is applied. Tick 'On actual Basic' in the Statutory Configuration only if your establishment contributes on full Basic+DA
No PT/LWF deducted	The employee's state (or the pinned company state) has no slab for that gross, or the month is not a remittance month for a half-yearly state (LWF Maharashtra only Jun/Dec; PT TN/GJ/KL only Jun/Dec)
ESIC missing for a low-paid employee	ESIC evaluates the month's actual gross. A bonus month can push gross above ₹21,000 and legitimately exclude the employee for that month
Variance flags everyone after a structure change	Expected. Record the review items, attach the structure-change reference in the approval note, and obtain Finance Head approval before the bank file
Bank file skipped some employees	Those employees lack account number or IFSC on their primary payment method. Fix the record and regenerate
Calculation button refuses to run	Runs calculate only in OPEN or INPUT_COLLECTION. Use a CORRECTION run for a processed period, or unlock via an approved Payroll Lock Request after closure
Form 16 shows estimates	The generated Form 16 is the working sheet (Part A pre-fill + Part B skeleton). The official Part A comes from TRACES after Q4 24Q is processed
Where are the admin charges for PF?	As separate EMPLOYER_CONTRIB lines (EPF_ADMIN, EDLI_ADMIN) when admin charges are enabled in the Statutory Configuration
Gratuity shows zero for a leaver	Completed service below 5 years, or Basic+DA not derivable. The computation panel states the reason; gratuity is statutory only at ≥ 5 years

15. Glossary

Term	Meaning
CTC	Cost to Company — the total annual employer cost of an employee, split into earnings, reimbursements and employer contributions
Basic	The core wage component that forms the base for PF and gratuity calculations
HRA	House Rent Allowance — partially exempt under Section 10(13A) using the least-of-three test
Special Allowance	The balancing component that absorbs the remainder of CTC; fully taxable
EPF / EPS / EDLI	Employees' Provident Fund scheme, the pension scheme funded from the employer share, and the deposit-linked insurance scheme
Statutory wage ceiling	The ₹15,000 monthly wage cap on which EPF contributions are computed unless the employer opts for actual Basic
ESIC	Employees' State Insurance Corporation — health insurance contributions at 0.75% (EE) + 3.25% (ER) for gross ≤ ₹21,000
PT	Professional Tax — a state-level tax on employment with state-specific slabs
LWF	Labour Welfare Fund — state-level welfare contributions, monthly or half-yearly (June/December)
TDS	Tax Deducted at Source — monthly income tax withholding under Section 192
Regime (Old / New)	The two concurrent personal-income-tax structures; New is the statutory default, Old keeps deductions
87A rebate	Rebate that nullifies tax for lower total incomes (₹60,000 up to ₹12L new regime FY 2025-26)
Cess	The 4% health and education cess applied on tax plus surcharge
Surcharge with marginal relief	Additional tax on high incomes, capped so the incremental tax never exceeds the income above the threshold
ECR	Electronic Challan-cum-Return — the monthly UAN-wise EPF filing format
Form 24Q	The quarterly e-TDS return for salaries filed via the NSDL utility / TRACES
Form 16	The annual TDS certificate for employees: Part A (TRACES) + Part B (annexure)
F&F;	Full and Final settlement — the final pay statement covering pending salary, gratuity, encashment, buy-out and recoveries
Gratuity	15/26 × last drawn Basic+DA × completed years, payable at five or more years of service, capped at ₹20 lakh
Leave encashment exemption	Section 10(10AA) exemption up to ₹25,00,000 on earned-leave encashment at exit
Notice buy-out	Recovery for un served notice days at monthly salary ÷ 30 per day

Term	Meaning
Variance threshold	The configured month-over-month net-pay change (default 5%) that requires review and Finance Head approval
SoD	Separation of Duties — the preparer of a payroll run can never be its approver
Payroll Lock Request	The audited, approved workflow required to reopen a CLOSED payroll run
Formula trace	The per-line JSON audit record showing exactly how a statutory amount was computed